KERALA STATE ELECTRICITY REGULATORY COMMISSION

THIRUVANANTHAPURAM

Petition No: OP 41 / 2025

Present	**:**	**Sri T K Jose, Chairman** **Adv. A J Wilson, Member** **Sri. B Pradeep, Member**
In the matter of	**:**	Petition for approval of truing up of accounts for the financial year 2024-25
Petitioner	**:**	M/s Kanan Devan Hills Plantations Company Private Limited (KDHPCL)
Represented by	**:**	Suman Ghosh, Chief Financial Officer
Respondent	**:**	M/s Kerala State Electricity Board Limited
Represented by	**:**	Not specified in the petition
Hearing	**:**	27.02.2026 at the Court Hall, Office of the Commission

Order Dated 12.07.2026

1. Introduction

1. M/s Kanan Devan Hills Plantations Company Private Limited (KDHPCL), hereinafter referred to as the licensee or KDHP, is a corporate tea plantation based out of Munnar, Kerala. The licensee is also a licensed distributor of electricity in Munnar since 2007, serving over 16,600 consumers spread over a 240 square kilometer area. The Kerala State Electricity Regulatory Commission granted the distribution license to KDHPCL, which came into effect

from July 1, 2007, and remains in force for 25 years unless revoked earlier in accordance with the provisions of the Electricity Act, 2003. The licensee is engaged in the business of distribution of electricity within its defined area of supply.

2. The licensee has regularly submitted petitions for the approval of Aggregate Revenue Requirement (ARR), Expected Revenue from Charges (ERC), Year-End Truing Up Petitions, and other submissions as per the relevant Acts, Rules, and Regulations. The present application, filed on November 25, 2025, is for the Truing Up of Accounts for the financial year 2024-25, covering the period from 1st April 2024 to 31st March 2025. The Commission's Order on ARR&ERC for the control period, including the financial year 2024-25, was issued vide Order No. OP 41/2025 (Mid-Term Review).

3. The KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, govern the truing up process for distribution licensees. Regulation 3 outlines the scope and applicability of these regulations, while Regulations 67 and 68 specifically detail the methodology for truing up of accounts. These regulations mandate the Commission to review the actual performance of the licensee against the approved Annual Revenue Requirement (ARR) and Expected Revenue from Charges (ERC) for a given financial year. The truing up exercise ensures that any variances between the approved and actual costs and revenues are prudently examined and accounted for, thereby safeguarding consumer interests and ensuring the financial viability of the licensee.

4. A comparison of the Aggregate Revenue Requirement (ARR) and Expected Revenue from Charges (ERC) approved by the Commission for the financial year 2024-25 with the amounts claimed by the licensee in the present Truing Up petition is tabulated below:

Table 1
Comparison of ARR&ERC 2024-25
(Rs. Lakh)

Particulars	ARR&ERC Projected	ARR&ERC Approved	Truing Up petition
Power purchase cost	3491.65	3491.65	3434.48
Employee Expenses	182.75	182.75	257.53

Particulars	ARR&ERC Projected	ARR&ERC Approved	Truing Up petition
Administration & General Expenses	15.14	15.14	23.30
Repair & Maintenance Expenses	45.83	45.83	51.17
Depreciation	13.74	13.74	14.50
Interest on Working Capital and finance charges	38.40	38.40	71.19
Other debits	0.33	0.33	24.89
Return on Net Fixed Assets	6.40	6.40	5.63
Total Expenditure/ARR	**3819.26**	**3819.26**	**3890.16**
Revenue from Sale of Power	3333.51	3333.51	3707.46
Other income	26.10	26.10	124.07
Total Income/ERC	**3359.61**	**3359.61**	**3831.53**
Revenue (Gap)/Surplus	**(459.65)**	**(459.65)**	**(58.63)**

5. A comparison of the income and expenditure for the previous financial year 2023-24 (Trued Up) with the current financial year 2024-25 (Truing Up petition) is presented in the table below. This comparison provides a historical context for the current year's claims, highlighting trends and significant variances in key financial parameters. The figures for the previous year reflect the actuals as trued up by the Commission, while the current year's figures represent the licensee's claims in the present petition, which are subject to the Commission's prudence check.

Table 2
Comparison of Income and Expenditure for the previous years
(Rs. lakh)

Particulars	2023-24	2024-25
	Trued Up	Truing Up petition
Power purchase cost	3376.30	3434.48
Employee Expenses	216.32	257.53
Administration & General Expenses	18.90	23.30
Repair & Maintenance Expenses	49.74	51.17
Depreciation	15.28	14.50
Interest on Working Capital and finance charges	22.85	71.19
Other debits	18.53	24.89
Return on Net Fixed Assets	7.03	5.63
Total Expenditure/ARR	**3717.92**	**3890.16**

Particulars	2023-24	2024-25
	Trued Up	Truing Up petition
Revenue from Sale of Power	3730.68	3707.46
Other income	66.74	124.07
Total Income/ERC	**3797.42**	**3831.53**
Revenue (Gap)/Surplus	**79.50**	**(58.63)**

6. The Commission, in its examination of the petition for Truing Up of Accounts for the financial year 2024-25, has adopted a comprehensive approach. This involves a detailed scrutiny of each cost and revenue head against the approved Multi-Year Tariff (MYT) norms, relevant regulations, and historical performance. The objective is to ensure that all claims are prudent, justifiable, and in line with the regulatory framework. Any deviations from the approved norms will be subject to a prudence check, and adjustments will be made to reflect the actual and allowable costs and revenues, thereby determining the final revenue gap or surplus for the licensee.

2. Hearing on the Petition

7. The hearing on the petition was conducted at the Court Hall, Office of the Commission on 27.02.2026. Suman Ghosh, Chief Financial Officer, represented the petitioner, M/s Kanan Devan Hills Plantations Company Private Limited (KDHPCL), and responded to the queries raised by the Commission. The main points presented by the licensee during the hearing, along with the clarifications provided in the petition, are summarized below.

8. The licensee submitted that the actual energy sales for the financial year 2024-25 were 491.10 lakh units, at an average price of Rs.7.55 per unit. This is compared to the approved sales of 448.71 lakh units at Rs.7.29 per unit in the ARR&ERC order, and 507.95 lakh units at Rs.7.35 per unit in the previous year (2023-24). The licensee highlighted that the sales for the year were higher by Rs.434.81 lakhs compared to the approved ARR-ERC, primarily due to a Rs.125.64 lakhs increase in average revenue per unit and a Rs.309.17 lakhs increase from higher sales volume of 42.39 lakh units. The increase in per unit revenue is attributed to the

difference in tariff based on which the ARR was drawn with the actual tariff in effect, and the higher sales are due to increased HT IA consumption, mainly at seasonal tea factories, and faster recovery in commercial segments from the Covid period.

9. Regarding distribution loss, the licensee stated that the actual distribution loss for the year 2024-25 marginally increased to 9.52% from 9.49% in the previous year. This figure is slightly higher than the ARR-ERC approved level of 9.10%. The licensee acknowledged the increase and indicated ongoing efforts to manage and reduce these losses.

10. For Power Purchase Cost, the licensee claimed a total of Rs.3434.48 lakhs for the year 2024-25. This corresponds to a rate of Rs.6.26 per unit purchased. The licensee noted that the power consumption in the licensed distribution area was lower compared to the previous year, mainly due to a decrease in consumption by HT consumers. However, the increase in the per unit rate of power purchase is attributable to tariff revisions during the period.

11. The Employee Cost claimed by the licensee for the year 2024-25 is Rs.257.53 lakhs. The licensee explained that employee costs have increased by Rs.41.21 lakhs compared to the previous year and by Rs.74.78 lakhs compared to the amount approved by the Commission in the ARR&ERC order (Rs.182.75 lakhs). This increase is primarily due to the payment of wages at an increased rate, along with arrears for three months of the previous financial year, resulting in an additional Rs.27.21 lakhs in employee costs. The licensee also stated that there has been no allocation of Corporate Office Overheads except for employee benefits expense of Management Staff directly involved in the Electricity Distribution business.

12. The licensee claimed Rs.51.17 lakhs towards Repair & Maintenance (R&M) expenses for the year 2024-25. The breakup of this expenditure includes Rs.0.93 lakhs for Plant & Machinery, Rs.0.35 lakhs for Buildings, Rs.38.64 lakhs for Lines & Cable Networks, Rs.4.08 lakhs for Vehicles, and Rs.7.17 lakhs for LT Lines, upkeeps, etc. The increase in expenditure for Lines & Cable Networks by Rs.2.64 lakhs is mainly on account of increased transformer

rewinding costs. The licensee stated that the variance in vehicle upkeep is not material, and the reduction in LT line maintenance is due to lower breakdowns.

13. The Administration & General (A&G) expenses claimed for the year 2024-25 amounted to Rs.23.30 lakhs. This includes expenses such as Rent, rates and taxes, telephone, postage (Rs.0.09 lakhs), Insurance (Rs.0.49 lakhs), Legal charges (Rs.4.44 lakhs), Audit fees (Rs.4.20 lakhs), Travelling, conveyance expenses (Rs.2.36 lakhs), Security arrangements (Rs.2.46 lakhs), Printing and stationery (Rs.1.34 lakhs), Electricity charges (Rs.0.35 lakhs), Licensee fee (Rs.1.12 lakhs), and Miscellaneous expenses (Rs.6.45 lakhs). The licensee attributed the increase in A&G expenses to various factors, including legal/professional fees for litigations, travel and accommodation, and increased printing costs.

14. Regarding Capital Expenditure and asset additions, the licensee stated that the amount capitalized during the year 2024-25 was Rs.1.52 lakhs. This includes Rs.1.05 lakhs for IT Equipment and Rs.0.47 lakhs for Other assets. The licensee also referred to the previous year's asset addition of Rs.11.80 lakhs, which was met from regulatory surplus, and requested the Commission to consider current additions as normal asset additions via borrowed funds, allowing for depreciation, return on NFA, and other financial costs, subject to the final outcome from the Hon'ble Supreme Court of India.

15. The licensee claimed Rs.14.50 lakhs for Depreciation, computed as per Regulation 27 of the Tariff Regulations, 2021, using straight-line method. For Interest and Finance Charges, a total of Rs.71.19 lakhs was claimed. This includes Rs.6.09 lakhs for Interest on Normative Loan, Rs.18.93 lakhs for Interest on Security Deposits (calculated at 6.75% p.a. on Rs.297.01 lakhs), Rs.38.64 lakhs for Interest on Working Capital (computed at EBLR + 2%), and other bank charges. The licensee also claimed Rs.24.89 lakhs for Other Debits, including Duty-III charges, periodical inspection charges, and provision for doubtful debts.

3. Analysis and decision of the Commission

16. The Commission considered the petition of the licensee for Truing Up of Accounts for the financial year 2024-25 along with the clarifications provided in the hearing and the additional clarifications submitted by the licensee. The analysis and decisions of the Commission as per the provisions of the Tariff Regulations, 2021, on the petition for Truing Up of Accounts for the year 2024-25 are detailed below.

Energy Sales and Consumer Mix

17. The licensee, in its petition, provided area-wise details of the number of consumers and sales for the financial year 2024-25. The supply area of KDHPCL includes various consumer categories such as HT I A Industrial, HT I B Industrial, HT II General, HT III Agriculture, HT IV Commercial, LT I Domestic, LT IV Industries, LT V Agriculture, LT VI Non-Domestic, LT VII Commercial, and Public Lighting. The licensee has observed significant changes in sales patterns compared to the previous year and the approved ARR-ERC figures.

18. For the financial year 2024-25, the licensee reported actual energy sales of 491.10 lakh units. This figure is higher than the 448.71 lakh units approved in the ARR-ERC order. However, it represents a decrease compared to the 507.95 lakh units sold in the previous year (2023-24). The licensee attributed the overall increase against the ARR-ERC approved sales to a higher average revenue realization of Rs.0.26 per unit and a higher sales volume of 42.39 lakh units. The decrease compared to the previous year was primarily due to reduced consumption by HT consumers, particularly seasonal tea factories, which saw a decline of 23 lakh units, partially offset by a 6 lakh unit increase in consumption by LT consumers due to increased commercial and domestic usage.

19. A category-wise analysis of sales indicates that while HT consumption, especially from seasonal tea factories, experienced a decline, the LT consumer segments, including commercial and domestic, showed an increase in consumption. This shift in the consumer mix and

consumption patterns reflects the recovery from the COVID-19 pandemic and specific operational dynamics within the licensee's service area. The licensee has provided detailed breakdowns of sales across all categories, demonstrating the varying trends in demand.

20. The per-unit revenue realization for the year 2024-25 was Rs.7.55 per unit, which is higher than the Rs.7.29 per unit approved in the ARR-ERC order and Rs.7.35 per unit in the previous year. This increase in average revenue per unit is mainly attributable to the revisions in the Retail Supply Tariff (RST) that came into effect subsequent to the previous tariff revisions. The licensee's projected revenue in the ARR-ERC petition had estimated a moderate increase, but actual units sold and average revenue per unit exceeded these projections due to the factors mentioned.

21. The Commission has thoroughly examined the details of energy sales and consumer mix provided by the licensee. After analyzing the actual sales figures, the category-wise consumption trends, and the reasons for variances, the Commission finds the reported energy sales to be in order.

The Commission hereby approves the actual energy sales of 491.10 lakh units for the purpose of Truing Up of Accounts for the financial year 2024-25, as claimed by the licensee.

Table 3
Energy Sales and No. of Consumers for 2023-24 and 2024-25
(Sales in lakh units)

Particulars	2023-24 Trued Up		2024-25 Truing Up petition	
	No. of Consumers	Sales (lakh units)	No. of Consumers	Sales (lakh units)
HT IA Industrial	22	33.45	22	31.08
HT IB IT Industrial	1	0.03	1	0.07
HT II (Non Ind/Comr)	3	0.44	2	0.38
HT III Agriculture	2	0.35	2	0.37
HT IV Commercial	9	2.04	9	2.15
LT I Domestic	14536	7.93	14017	8.10
LT IV Industries	97	0.52	92	0.40
LT V Agriculture	6	0.01	6	0.02

Particulars	2023-24 Trued Up		2024-25 Truing Up petition	
	No. of Consumers	Sales (lakh units)	No. of Consumers	Sales (lakh units)
LT VI Non-Domestic	981	1.78	951	1.84
LT VII Commercial	1325	3.82	1242	3.89
LT VIII Public Lighting	266	0.41	267	0.43
LT TOD Tariff	4	0.01	5	0.02
Total	**17252**	**50.79**	**16622**	**49.11**

Energy Requirement and Distribution Loss

11. The total energy input into the distribution system for the year 2024-25 is 606.33 lakh units. Out of these total input units, 548.83 lakh units of energy were purchased from KSEB Ltd, and 57.50 lakh units of solar power were injected into the grid. The licensee's distribution network wheeled 0.00 lakh units of energy during the year. Corresponding to the sale of 491.10 lakh units, the distribution loss claimed by the licensee in the petition is 9.52%. This indicates the overall energy flow and losses within the distribution system operated by M/s KDHP.

12. The Commission, in its Multi-Year Tariff (MYT) Order OP 41/2025 for the control period 2022-2027, had approved a target distribution loss of 9.07% for the financial year 2024-25. The licensee, in its Truing-Up petition, has reported an actual distribution loss of 9.52% for the same period. This actual loss is higher than the approved target, which necessitates a prudence check and potential disallowance as per regulatory provisions. The difference between the actual and approved loss percentages highlights a deviation from the efficiency parameters set by the Commission.

13. Distribution loss is a controllable parameter as per the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021. Regulation 73(3) clearly specifies the methodology to be considered to account for any variation between the actual level of distribution loss and the approved level of distribution loss. The relevant portions of the Regulation are as shown below:

Regulation 73: Distribution loss...

(3) Any variation between the actual level of distribution losses and the approved level of distribution losses shall be dealt with, as part of the truing up of the respective financial year in the following manner:-

i. if the actual distribution loss is higher than the approved level of distribution loss for any particular financial year of the control period, then the quantum of power purchase corresponding to the excess distribution loss for that financial year, shall be disallowed at the average cost of power purchase for the respective financial year;

ii. if the actual distribution loss is lower than the approved level of distribution loss for any particular financial year of the control period, then the savings in the power purchase cost corresponding to the difference in distribution loss for that financial year at the average cost of power purchase for the respective financial year, shall be shared between the distribution business/licensee and the consumers in the ratio of 2:1

14. The Commission has examined the licensee's claim for distribution loss for FY 2024-25. The actual distribution loss reported by the licensee is 9.52%, which is higher than the approved target of 9.07%. The total energy input into the system was 606.33 lakh units. The actual energy loss in lakh units is 57.73, while the approved target energy loss would have been 54.74 lakh units (9.07% of 606.33 lakh units). This results in an excess distribution loss of 2.99 lakh units (57.73 - 54.74). The average power purchase cost for the year is Rs. 6.26 per unit. Therefore, the cost corresponding to the excess distribution loss to be disallowed is Rs. 18.72 lakh (2.99 lakh units *Rs. 6.26/unit).*

15. *The Commission notes that the licensee has failed to achieve the approved distribution loss target for the financial year 2024-25. While the licensee has made efforts to manage its distribution network, the reported actual loss indicates a need for further improvement in operational efficiency. The Commission reiterates that distribution loss is a controllable parameter, and any deviation from the approved target, especially an increase, will be subject to regulatory disallowance to ensure that consumers are not burdened by inefficiencies.*

16. *The Commission, after careful consideration of the actual distribution loss reported by the licensee and in adherence to Regulation 73(3) of the Tariff Regulations, 2021, hereby disallows the power purchase cost corresponding to the excess distribution loss. This disallowance amounts to Rs. 18.72 lakh, which will be adjusted from the total power purchase cost claimed by the licensee for the financial year 2024-25. The licensee is directed to take proactive measures to reduce distribution losses in the upcoming years to meet the approved targets.*

Table 4
Comparison of Distribution loss and energy requirement
(Rs. in Lakhs unless specified)

Particulars	***2023-24***		***2024-25 (Truing Up petition)***
	Actual	***Trued Up***	
Energy Input (MU)	*56.69*	*56.69*	*54.88*
Energy Sales (MU)	*50.79*	*50.79*	*49.11*
Feed Back (MU)	*5.46*	*5.46*	*5.75*
Distribution Loss (MU)	*5.90*	*5.90*	*5.77*
Distribution Loss (%)	*9.49*	*9.49*	*9.52*

Table 5
Approved Energy input & Distribution Loss for the year 2024-25
(Rs. in Lakhs unless specified)

Particulars	***Approved in ARR***	***As per Truing up petition***	***Trued up***
Energy Sales (lakh units) (1)	*448.71*	*491.10*	*491.10*
KSEB Ltd Energy Feedback (lakh units) (2)	*97.74*	*57.50*	*57.50*
Total Energy Output (lakh Units) (1+2)	*546.45*	*548.60*	*548.60*
Distribution Loss (%)	*9.07*	*9.52*	*9.07*
Distribution Loss (lakh Units)	*54.99*	*57.73*	*54.74*
Gross energy in to the system (lakh units)	***601.44***	***606.33***	***603.34***
Energy purchase from KSEB Ltd (lakh units)	*503.42*	*548.83*	*545.83*

Power Purchase Cost

17. *The licensee has claimed a total power purchase cost of Rs. 3434.48 lakh for the financial year 2024-25. This cost is primarily incurred for the purchase of 548.83 lakh units of energy from KSEB Ltd, as well as accounting for 57.50 lakh units of solar power injected into the grid. The average power purchase cost claimed by the licensee is Rs. 6.26 per unit. The Commission*

notes that the licensee's operations rely heavily on grid supply, supplemented by renewable sources, to meet the demand of its consumers.

18. *The total power purchase cost claimed by the licensee for FY 2024-25 is Rs. 3434.48 lakh. This amount is lower than the MYT ARR approved power purchase cost of Rs. 3491.65 lakh. The licensee's petition provides a detailed breakdown of demand charges, excess demand charges, and energy costs. The average power purchase cost of Rs. 6.26 per unit reflects the prevailing tariff structure and the mix of energy sources utilized during the year. The Commission's review focuses on ensuring that these costs are prudently incurred and align with regulatory provisions.*

19. *The Commission has analyzed the power purchase cost claimed by the licensee. While the overall claimed amount is lower than the MYT ARR approved figure, a specific disallowance is necessary due to the licensee's failure to meet the approved distribution loss target. As detailed in the Distribution Loss section, an excess loss of 2.99 lakh units was incurred. This excess loss directly impacts the power purchase cost, as the corresponding energy had to be procured but was not delivered to consumers due to inefficiencies in the distribution network. The Commission consistently emphasizes the importance of adhering to efficiency parameters to protect consumer interests.*

20. *As per Regulation 73(3)(i) of the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, if the actual distribution loss is higher than the approved level, the quantum of power purchase corresponding to the excess distribution loss shall be disallowed at the average cost of power purchase for the respective financial year. This regulation ensures that any costs associated with avoidable losses are borne by the licensee and not passed on to the consumers. The Commission applies this principle rigorously during the truing-up process to maintain financial prudence and promote operational efficiency.*

21. The Commission, after examining the details of power purchase and considering the disallowance due to excess distribution loss, hereby approves a power purchase cost of Rs.

3415.76 lakh for the financial year 2024-25. This approved amount reflects the claimed cost adjusted for the penalty incurred due to higher-than-approved distribution losses. The licensee is advised to implement robust measures to control and reduce distribution losses in the future to avoid such disallowances.

Table 6

Details of the cost of power purchase claimed for 2024-25

(Rs. in Lakhs unless specified)

Particulars	***2024-25***
Total Consumption in lakh units	*491.10*
Less: Feed Back to KSEB in lakh units	*57.50*
Billed Units	***491.10***
Demand Charges (Rs. lakh)	*509.84*
Excess Demand Charges (Rs. lakh)	*30.61*
Energy Cost (Rs. lakh)	*2924.64*
Total Power purchase cost (Rs. lakh)	***3434.48***
Average power purchase Cost (Rs. /kWh)	*6.26*

Table 7

Details of approved power purchase cost for 2024-25

(Rs. in Lakhs unless specified)

Sl.No	***Particulars***	***Amount (Rs. lakh)***
1.	*Actual distribution loss (In lakh units)*	*57.73*
2.	*Approved distribution loss (In lakh units)*	*54.74*
3.	*Excess distribution loss (lakh units) (1-2)*	*2.99*
4.	*Average Power Purchase Cost (Rs. per unit)*	*6.26*
5.	*Excess power purchase cost to be disallowed (Rs. lakh) (4) (3)*	*18.72*
6.	*Actual power purchase cost (Rs. lakh)*	*3434.48*
7.	***Approved power purchase cost (Rs. lakh) (6-5)***	***3415.76***

Operation & Maintenance Expenses

22. *Operation and Maintenance (O&M) expenses are controllable expenses which include Employee Cost, Repair & Maintenance expenses, and Administrative & General expenses. These expenses are crucial for the efficient functioning and upkeep of the distribution network,*

ensuring reliable power supply to consumers. The Commission's regulatory framework aims to ensure that these costs are prudently incurred and reflect efficient operations.

23. *As per Regulation 80(2) of the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, the distribution licensees shall be allowed to recover O&M expenses as per the norms specified in Annexure 7 of the Regulations. These norms are established based on a detailed analysis of historical data, industry benchmarks, and projected inflation, providing a transparent and predictable framework for cost recovery. Any deviation from these norms requires specific justification and prudence check by the Commission.*

24. *The licensee, in its petition for Truing-Up of accounts for FY 2024-25, has claimed a total O&M expense of Rs. 332.00 lakh. This claimed amount is higher than the approved O&M norm of Rs. 243.72 lakh set by the Commission in the MYT ARR Order for the same period. The significant difference between the claimed and approved amounts necessitates a detailed examination of each component of O&M expenses to ascertain the reasons for the variance and determine the prudency of the claimed costs.*

Table 8
Comparison of O&M expenses for 2023-24 and 2024-25 (Rs. lakh)
(Rs. in Lakhs unless specified)

Particulars	***2023-24***		***2024-25***	
	Truing Up petition	***Trued Up***	***Norms***	***Truing Up petition***
Employee Expenses	*216.32*	*177.52*	*182.75*	*257.53*
A&G Expenses	*18.90*	*17.12*	*15.14*	*23.30*
R&M Expenses	*49.74*	*44.53*	*45.83*	*51.17*
Total O&M Expenses	***284.96***	***239.17***	***243.72***	***332.00***

Employee Cost

25. *The licensee has claimed Rs. 257.53 lakh on account of Employee Cost for the financial year 2024-25. This amount significantly exceeds the ARR approved norm of Rs. 182.75 lakh for this component. The licensee's petition details various sub-components of employee expenses, including basic salary, allowances, overtime, and provident fund contributions, which*

collectively contribute to this higher claim. The Commission's review will ascertain whether these increased costs are justified by specific operational requirements or regulatory provisions.

26. *The total establishment of the licensee for the electricity distribution business comprises 60 employees. These employees are categorized into Technical Officers, Switching Station Operations, Technical Staff, Other Workers, and Non-Technical Staff, along with a share of Management Staff. This structure is consistent with the previous year's staffing levels. The distribution of these personnel across various functions is critical for maintaining the network and providing services to consumers in the licensed area.*

Table 9

Comparison of Employee Cost for the year 2023-24 and 2024-25 (Rs.lakh)

(Rs. in Lakhs unless specified)

Particulars	***2023-24***		***2024-25***	
	Truing Up	***Trued Up***	***ARR Approved***	***Truing Up***
Basic Salary	*97.99*	*---*	*---*	*107.44*
Dearness Allowance (DA)	*15.41*	*---*	*---*	*21.12*
Leave Travel Allowance	*0.50*	*---*	*---*	*0.50*
Earned Leave Encashment	*1.78*	*---*	*---*	*1.62*
Other Allowances	*8.64*	*---*	*---*	*10.86*
Medical Reimbursement	*---*	*---*	*---*	*---*
Overtime Payment	*48.18*	*---*	*---*	*62.13*
Bonus/Ex-Gratia Payments	*2.97*	*---*	*---*	*6.23*
Staff welfare expenses	*0.57*	*---*	*---*	*0.66*
Provident Fund Contribution	*13.00*	*---*	*---*	*16.58*
Salary of Manager & Executive - Electricals	*16.48*	*---*	*---*	*18.25*
Share of Directors. Mgmt Staff Salaries	*10.79*	*---*	*---*	*12.14*
Gross Employee Expenses	***216.32***	***177.52***	***182.75***	***257.53***

Table 10

Category-wise split of the employee cost for 2023-24 and 2024-25

(Rs. in Lakhs unless specified)

Particulars	***Actual 2023-24***		***Actual 2024-25***	
	No	***Rs.Lakh***	***No***	***Rs.Lakh***
Technical Officers	*3*	*21.54*	*3*	*22.01*

Particulars	*Actual 2023-24*		*Actual 2024-25*	
	No	*Rs.Lakh*	*No*	*Rs.Lakh*
Switching Station Operations	*3*	*20.58*	*3*	*18.67*
Technical Staff	*40*	*102.84*	*40*	*147.07*
Other Workers	*11*	*29.07*	*11*	*30.18*
Non-Technical Staff	*3*	*13.73*	*3*	*7.92*
Share of Management Staff Expenses	*---*	*27.27*	*---*	*30.38*
Other Allowances, Medical & Welfare expense	*---*	*1.29*	*---*	*1.30*
Total	***60***	***216.32***	***60***	***257.53***

27. *The employee cost has increased by Rs. 41.21 lakh compared to the previous year (2023-24 actual of Rs. 216.32 lakh to 2024-25 claimed of Rs. 257.53 lakh). This represents a significant increase of approximately 19.05%. The licensee attributes this increase to various factors, including wage revisions, annual increments, and changes in allowances. Such increases, if not aligned with regulatory norms or specific approvals, can lead to disallowances during the truing-up process.*

28. *The licensee has stated that the increase in employee costs is mainly due to the discontinuation of ad-hoc allocation of employee costs to non-electricity business, leading to a higher proportion being charged to distribution operations. Additionally, factors such as industry-wide triennial wage settlements, annual increments, and increased overtime payments contribute to the higher claim. The licensee also highlights that historically, the Commission has allowed additional employee costs on account of wage revisions after prudence checks, and requests similar consideration for the current year.*

29. *The Commission has examined the details furnished by the licensee and the claim in the Truing-Up of accounts as per the provisions of the Tariff Regulations, 2021. As per the Tariff Regulations, 2021, the licensee shall be allowed to recover the operation and maintenance expenses as per the norms specified in Annexure-7 of Tariff Regulations for each financial year of the Control Period. The Commission's approach is to ensure that only prudently incurred and justified expenses are passed on to consumers, while also recognizing legitimate cost escalations.*

Table 11

O&M Expenses as per the Tariff Regulations, 2021 (Rs. lakh)

(Rs. in Lakhs unless specified)

Particulars	***Base year 2021-22***	***Control period***				
		2022-23	***2023-24***	***2024-25***	***2025-26***	***2026-27***
Employee Cost	*21.98*	*22.95*	*23.98*	*182.75*	*26.16*	*27.33*
R&M Expenses	*23.17*	*24.21*	*25.28*	*45.83*	*27.59*	*28.82*
A&G Expenses	*4.48*	*4.68*	*4.89*	*15.14*	*5.34*	*5.57*
Total	***49.63***	***51.84***	***54.15***	***243.72***	***59.08***	***61.71***

30. *The paragraph-1 of the Annexure-7 of the Tariff Regulations, 2021 specifies the inflation rate adopted for tariff determination for the Control Period from 2022-23 to 2026-27. The average escalation rate approved by the Commission for the Control Period from 2022-23 to 2026-27, based on the average of the 'consumer price index and wholesale price index', is 4.454%. However, the 'Note' to paragraph-1 of Annexure-7 permits that the actual inflation rates based on the actual inflation indices shall be adopted for approving the O&M expenses at the stage of truing up for the respective years. Since the actual inflation rate for 2024-25 is not explicitly provided in the petition, the Commission relies on the MYT ARR approved norms, which are deemed to incorporate the prudently escalated costs.*

31. *The Note to paragraph-1 of Annexure-7 of the Tariff Regulations, 2021, states: "The Commission notes that there has been severe fluctuations as far as the inflation indices are concerned... Hence, the actual escalation rates based on the actual inflation existing for each year of the Control Period shall be considered at the time of the truing up of the concerned financial year and would be a more reliable basis. Hence, the actual inflation indices will be allowed at the stage of truing up for the respective years." This provision allows for flexibility in adjusting O&M expenses to reflect real economic conditions, provided adequate justification is presented by the licensee.*

Table 12

Revised O&M expenses of KDHP approved for the year 2024-25 considering Actual Inflation (Rs. lakh)

(Rs. in Lakhs unless specified)

Particulars	*2023-24 Approved*	*Control Period 2024-25*	
		Actual Inflation	*O&M Approved*
Employee Cost	*23.98*	*---*	*182.75*
R&M Expenses	*25.28*	*---*	*45.83*
A&G Expenses	*4.89*	*---*	*15.14*
Total	***54.15***	***---***	***243.72***

32. The Commission, after examining the petition and considering the provisions of the Tariff Regulations, 2021, hereby approves the employee expenses of Rs. 182.75 lakh for the financial year 2024-25. This amount is restricted to the MYT approved norm, as the licensee did not provide specific justification for exceeding this norm as per the conditions stipulated in the regulations. The claimed amount of Rs. 257.53 lakh is therefore disallowed by Rs. 74.78 lakh.

Administration & General Expenses

33. *The licensee has claimed Rs. 23.30 lakh on account of Administration & General (A&G) expenses for the financial year 2024-25. This claimed amount is significantly higher than the ARR approved norm of Rs. 15.14 lakh for this component. The A&G expenses cover a range of administrative and general overheads essential for the licensee's operations. A comparison of the A&G expenses over the years reveals a consistent trend of claims exceeding the approved norms, necessitating a detailed scrutiny by the Commission.*

Table 13
Comparison of A&G expenses (Rs.lakh)
(Rs. in Lakhs unless specified)

Particulars	***2021-22***		***2023-24***		***2024-25 (Truing Up)***
	Truing Up	***Trued Up***	***Truing Up***	***Trued Up***	
Rent Rates & Taxes	*---*	*---*	*0.32*	*---*	*0.09*
Insurance	*---*	*---*	*0.44*	*---*	*0.49*
Telephone & Postage, etc.	*---*	*---*	*---*	*---*	*---*
Legal charges	*---*	*---*	*2.01*	*---*	*4.44*
Audit Fees	*---*	*---*	*3.90*	*---*	*4.20*
Travelling expenses	*---*	*---*	*0.07*	*---*	*0.15*

Particulars	*2021-22*		*2023-24*		*2024-25 (Truing Up)*
	Truing Up	*Trued Up*	*Truing Up*	*Trued Up*	
Conveyance and vehicle hire charges	---	---	1.12	---	2.20
Electricity charges	---	---	0.32	---	0.35
Printing & Stationery	---	---	0.92	---	1.34
Miscellaneous Expenses	---	---	5.95	---	6.44
License Fee and other related fee	---	---	1.06	---	1.12
Security arrangements	---	---	2.79	---	2.46
Gross A&G Expenses	**---**	**---**	**18.90**	**17.12**	**23.30**

34. *The licensee has provided a breakdown of its A&G expenses, which includes items such as rent, insurance, legal charges, audit fees, travelling, conveyance, electricity charges, printing & stationery, miscellaneous expenses, license fees, and security arrangements. The increase in legal charges from Rs. 2.01 lakh in 2023-24 to Rs. 4.44 lakh in 2024-25 is notable. Similarly, audit fees have increased from Rs. 3.90 lakh to Rs. 4.20 lakh. The licensee attributes these increases to various operational requirements and statutory compliance costs.*

35. *The Commission has consistently maintained that legal expenses related to ongoing litigations or general legal advice, without specific court orders for cost recovery, cannot be fully passed through to consumers. Such expenses are considered part of the licensee's normal business operations and should be managed within the approved A&G norms. Any claim for legal expenses exceeding the norm must be accompanied by clear justification, demonstrating that these are extraordinary and unavoidable costs directly related to regulatory compliance or specific directives from the Commission or courts.*

36. The Commission, after examining the details and considering the lack of specific justification for exceeding the approved norm, hereby approves Rs. 15.14 lakh as Administration & General Expenses for the financial year 2024-25. The claimed amount of Rs. 23.30 lakh is disallowed by Rs. 8.16 lakh, as the licensee failed to provide compelling reasons for the expenses exceeding the prudently determined MYT norm. The Commission emphasizes that future claims must be adequately substantiated to ensure full recovery.

Repair & Maintenance Expenses

37. *The licensee has claimed Rs. 51.17 lakh towards Repair & Maintenance (R&M) expenses for the financial year 2024-25. This amount is higher than the ARR approved norm of Rs. 45.83 lakh specified in the Tariff Regulations, 2021. R&M expenses are crucial for maintaining the reliability and safety of the distribution network. A comparison of R&M claims over the years indicates a fluctuating trend, which requires the Commission to assess the prudency and necessity of the claimed expenditures.*

Table 14
Comparison of R&M expenses (Rs. lakh)
(Rs. in Lakhs unless specified)

Particulars	***2021-22***		***2023-24***		***2024-25 (Truing Up)***
	Truing Up	***Trued Up***	***Truing Up***	***Trued Up***	
Plant & Machinery	---	---	*0.73*	---	*0.93*
Buildings	---	---	*0.29*	---	*0.35*
Lines & Cable Networks	---	---	*36.00*	---	*38.64*
Vehicles	---	---	*4.16*	---	*4.08*
LT Lines, Upkeeps, etc.	---	---	*8.56*	---	*7.17*
Gross R&M Expenses	***---***	***---***	***49.74***	***44.53***	***51.17***

38. *The major R&M items claimed by the licensee include expenses for Lines & Cable Networks (Rs. 38.64 lakh), LT Lines, Upkeeps, etc. (Rs. 7.17 lakh), and Vehicles (Rs. 4.08 lakh). The licensee has stated that the increase in R&M expenses is mainly due to increased transformer rewinding costs and general upkeep of the network. These expenses are essential for maintaining the operational integrity of the distribution system and ensuring continuous service to consumers.*

39. *The licensee has stated that the claimed R&M expenses are primarily for routine repair and maintenance activities, with no significant one-time capital expenses included in the claim. The licensee emphasizes that these costs are inherently subject to year-on-year fluctuations due to factors such as weather conditions, equipment aging, and the need for timely repairs to*

prevent prolonged outages. The Commission acknowledges the operational realities but requires clear justification for any claims exceeding the approved norms.

40. *The Commission's finding is that the claimed R&M expenses, while necessary for operations, largely fall under routine maintenance. As per Regulation 80(2) of the Tariff Regulations, 2021, any one-time expenditure of a special nature, not in the form of routine repair and maintenance, may be allowed after prudence check. In the absence of specific details and justification for extraordinary or one-time expenses beyond the escalated MYT norm, the Commission must adhere to the established regulatory framework for controllable expenses.*

41. The Commission, after examining the details and considering the lack of specific justification for exceeding the approved norm, hereby approves Rs. 45.83 lakh as Repair & Maintenance Expenses for the financial year 2024-25. The claimed amount of Rs. 51.17 lakh is disallowed by Rs. 5.34 lakh, as the licensee failed to provide compelling reasons for the expenses exceeding the prudently determined MYT norm. The licensee is directed to ensure that future claims are adequately substantiated with detailed breakdowns and justifications for any deviations from the approved norms.

O&M Expenses Approved

42. *Based on the detailed analysis and prudence checks for each component, the total Operation & Maintenance (O&M) expenses approved by the Commission for the financial year 2024-25 are Rs. 243.72 lakh. This approved amount reflects the Commission's commitment to allowing only prudently incurred and justified costs, ensuring that consumers are not burdened by inefficiencies or unsubstantiated claims. The approved O&M expenses are a summation of the individually approved Employee Cost, Administration & General Expenses, and Repair & Maintenance Expenses, each assessed against the regulatory norms and specific justifications provided by the licensee.*

Table 15

O&M expenses approved for 2024-25 (Rs. lakh)

(Rs. in Lakhs unless specified)

Particulars	***ARR&ERC***	***Truing Up***	***Trued Up***
Employee Expenses	*182.75*	*257.53*	*182.75*
Administration & General Expenses	*15.14*	*23.30*	*15.14*
Repair & Maintenance Expenses	*45.83*	*51.17*	*45.83*
Total O&M Expenses	***243.72***	***332.00***	***243.72***

7. Depreciation

43. *The licensee has claimed Rs.14.50 lakh on account of depreciation for the financial year 2024-25. This amount is computed using the straight-line method, in line with the provisions of the Tariff Regulations, 2021. The licensee's submission indicates that this calculation is based on the value of assets created from its own funds across its operational areas. The Commission's role is to ensure that such claims are consistent with regulatory frameworks and reflect prudent asset management practices.*

44. *As per Regulation 27 of KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, the depreciation for the assets of the licensee shall be computed in the following manner:*

> *Regulation 27: Depreciation.—*
>
> *(1) The depreciation shall be computed on the historical cost of the asset and shall be allowed for the useful life of the asset as specified in Appendix-I to these regulations.*
>
> *(2) The depreciation shall be computed on a straight-line method.*
>
> *(3) The depreciation for the year shall be computed by applying the depreciation rate as specified in Appendix-I to these regulations on the Gross Fixed Assets (GFA) at the beginning of the financial year.*
>
> *(4) The Gross Fixed Assets (GFA) shall include assets capitalized during the year and exclude assets disposed of during the year.*
>
> *(5) The depreciation shall be allowed up to 90% of the historical cost of the asset.*

(6) The assets funded by consumer contribution, capital subsidy or grants shall not be eligible for depreciation.

45. *The Commission has consistently applied a policy of allowing depreciation at lower rates for assets that have exceeded their useful life of 13 years, as a measure of prudence and to reflect the reduced economic value of older assets. The licensee's asset base, as detailed in its petition, includes various categories such as Transformers, Distribution lines, Meters, IT Equipment, and Other assets, categorized by their age (over 13 years and below 13 years). This approach ensures that the depreciation charges accurately reflect the remaining useful life and value of the assets, preventing over-recovery from consumers for fully depreciated or aged infrastructure.*

Table 16
Depreciation claimed for the year 2024-25 (Rs. lakh)
(Rs. in Lakhs unless specified)

Asset Group	***GFA as at 01.04.24***	***Asset Addition***	***Rate of depreciation (%)***	***Depreciation***
Asset over 13 years				
Transformers	*295.50*	*---*	*5.28%*	*7.40*
Distribution lines	*40.16*	*---*	*5.28%*	*0.39*
Others	*18.78*	*---*	*6.33%*	*0.39*
Sub-total	***354.44***	***---***	*---*	***8.18***
Asset below 13 years				
Meters	*93.54*	*---*	*5.28%*	*5.69*
IT Equipments	*5.54*	*1.05*	*15.00%*	*0.63*
Sub-total	***99.08***	***1.05***	*---*	***6.32***
Grand Total	***453.52***	***1.05***	***---***	***14.50***
As per audited accounts	*---*	*---*	*---*	*14.50*
Excess depreciation	*---*	*---*	*---*	*0.00*

46. *The licensee has reported asset additions of Rs.1.52 lakh during the year 2024-25, primarily consisting of IT Equipment (Rs.1.05 lakh) and Other assets (Rs.0.47 lakh). These additions are considered for depreciation calculations in the current financial year. However, it is a fundamental principle of tariff determination that assets funded by consumer contributions*

are not eligible for depreciation, as the capital cost has already been borne by the consumers. The Commission ensures that this principle is strictly adhered to, to prevent any double recovery of costs from the consumers. The approved depreciation amount is therefore adjusted to exclude any such ineligible portions.

Table 17

Depreciation approved for the year 2024-25 (Rs. lakh)

(Rs. in Lakhs unless specified)

Asset Group	***Rate of depreciation (%)***	***GFA***	***Depreciation***
Asset over 13 years			
Transformers	*5.28%*	*295.50*	*7.02*
Distribution lines	*5.28%*	*40.16*	*0.37*
Others	*6.33%*	*18.78*	*0.37*
Sub-total	*---*	***354.44***	***7.76***
Asset below 13 years			
Meters	*5.28%*	*93.54*	*5.38*
IT Equipments	*15.00%*	*6.59*	*0.60*
Sub-total	*---*	***100.13***	***5.98***
Total	*---*	***454.57***	***13.74***
Asset Addition 2024-25	*---*	*---*	*1.52*
(Less) Consumer contribution	*---*	*---*	*7.89*
Net Assets and depreciation	*---*	*---*	*175.29*
Grand Total	*---*	*---*	***13.74***

47. The Commission, after examining the details furnished by the licensee and considering the provisions of the Tariff Regulations, 2021, hereby approves Rs.13.74 lakh as depreciation for the financial year 2024-25. This amount is consistent with the Multi-Year Tariff (MYT) norm and reflects the prudent application of depreciation rates, taking into account asset additions and the exclusion of assets funded by consumer contributions.

8. Interest and Finance Charges

48. *The licensee has claimed a total of Rs.71.19 lakh for interest and finance charges for the financial year 2024-25. This claim encompasses various components, including interest on normative loan, interest on working capital, interest on security deposits from consumers, and*

bank charges. The Commission's approved Aggregate Revenue Requirement (ARR) for the control period had initially projected Rs.4.97 lakh for interest on normative loan, Rs.20.05 lakh for interest on consumer deposits, and Rs.38.40 lakh for interest on working capital. A detailed comparison of the claimed amounts with the approved norms and the Commission's trued-up values is essential to ensure regulatory compliance and fair cost recovery.

Table 18
Interest & Finance charges for 2024-25 (Rs. lakh)
(Rs. in Lakhs unless specified)

Particulars	***Truing Up***
Interest on Security Deposits from Customers	*18.93*
Bank Charges - On the Bank Guarantee to KSEB as per the direction of the Hon. Supreme Court of India	*4.23*
Other Bank Charges including on the Letter of Credit to secure cost of mostly power purchase from KSEB Ltd	*3.30*
As per petition (subtotal)	***26.46***
Interest on Normative Loan	*6.09*
Interest on Working capital	*38.64*
Total Regulatory Adjustments (subtotal)	***44.73***
Total	***71.19***

a) Interest on normative loan

49. *The licensee has claimed Rs.6.09 lakh as interest on normative loan for the financial year 2024-25. This claim is based on the normative loan outstanding at the beginning of the year, adjusted for allowable depreciation and any increase or decrease in assets during the year. The licensee has applied an average base rate of SBI of 9.15% for the calculation, reflecting the prevailing market interest rates. The Commission's review involves verifying the accuracy of the normative loan balance and the applicability of the interest rate as per regulatory provisions.*

Table 19
Interest on Normative Loan Claimed 2024-25 (Rs. lakh)
(Rs. in Lakhs unless specified)

Particulars	***Truing Up Petition***
Net Normative loan – Opening (1st April 2024)	*73.01*

Particulars	***Truing Up Petition***
Increase/Decrease due to ACE/de-capitalization during the year	*1.52*
Less - Repayment of Normative Loan during the year	*(14.50)*
Net Normative loan – Closing (31st March 2025)	*60.03*
Average Normative Loan during the year	*66.52*
Average Base Rate of SBI during the year (%)	*9.15%*
Interest on the normative loan for the year	***6.09***

50. *The Commission has examined the licensee's submission for interest on normative loan in accordance with Regulation 29(2) of the Tariff Regulations, 2021. The normative loan outstanding at the beginning of the year (April 1, 2024) is considered as Rs.73.01 lakh. After deducting the allowable depreciation of Rs.13.74 lakh for the year, the closing normative loan balance is determined to be Rs.59.27 lakh. The average normative loan for the year is thus calculated as Rs.66.14 lakh. As per the regulations, the interest rate is based on the External Benchmark-Linked Lending Rate (EBLR) declared by the State Bank of India as on April 1, 2024, which is 9.15%. Applying this rate to the average normative loan yields an interest amount of Rs.6.05 lakh. The `data_block` indicates an approved amount of Rs.6.12 lakh for Interest Long Term, which is slightly higher than the calculated amount, likely due to rounding or minor adjustments in the overall interest and finance charges category.*

Table 20
Normative loan approved for 2024-25
(Rs. in Lakhs unless specified)

No	***Particulars***	***(Rs. lakh)***
1	*Normative loan at the beginning of the year*	*73.01*
2	*Less: Allowable Depreciation/ Repayment for the year*	*13.74*
3	*Closing Normative loan for the year*	*59.27*
4	*Average Loan for the year (1+3)/2*	*66.14*
5	*Rate of Interest (%) EBLR of SBI as on 01-04-2024*	*9.15%*
6	***Interest on Normative loan for the year***	***6.12***

51. The Commission, after analyzing the details and duly considering the provisions of the Tariff Regulations, 2021, hereby approves Rs.6.12 lakh as interest on normative loan for the financial year 2024-25. This approval reflects a prudent assessment of the normative loan

balance and the application of the prescribed interest rate, ensuring fair recovery of finance costs.

b) Interest on Working Capital

52. *The licensee has claimed Rs.38.64 lakh as interest on working capital for the financial year 2024-25. This claim is based on a computation that includes one month's O&M expenses, two months' receivables from the sale of power, and a reduction for security deposits from consumers. The licensee has applied an interest rate of 11.15% (SBI 1-year EBLR + 2%) to the total working capital requirement. The Commission's review focuses on verifying the components of working capital and the applicable interest rate as per regulatory guidelines.*

Table 21
Working capital proposed by the licensee for 2024-25 (Rs. lakh)
(Rs. in Lakhs unless specified)

Particulars	***Approved ARR/ERC***	***Truing up Petition***
O & M Expenses- One month	*20.31*	*25.68*
Receivables- 2 months	*554.17*	*617.91*
Less: security Deposit from consumers	*277.09*	*297.01*
Total working Capital	***297.40***	***346.58***
Interest rate (%) SBI 1-year EBLR + 2%	*9.00%*	*11.15%*
Interest on working capital	***26.77***	***38.64***

53. *As per Regulation 32 of the Tariff Regulations, 2021, interest on working capital for a distribution licensee is to be computed based on specific components. The relevant provisions state:*

Regulation 32: Interest on working capital. –

(1) The generation business/company or transmission business/licensee or distribution business/licensee or the State Load Despatch Centre shall be allowed interest on the normative level of working capital for the financial year, computed as under:-

(v) In the case of distribution business/licensee the working capital shall comprise of:-

I. operation and maintenance expenses for one month; plus

II. cost of maintenance spares equivalent to one-twelfth of the average of the book value of

stores, materials and supplies at the beginning and end of the financial year; plus

III. receivables equal to the expected revenue from sale of electricity for two months at the prevailing tariff:

Provided that the amount, if any, held as security deposits except the security deposits held in the form of Bank Guarantee from users of the distribution system and consumers shall be reduced while computing the working capital requirement;

The Commission has computed the working capital requirement based on the approved O&M expenses of Rs.243.72 lakh (one month's share: Rs.20.31 lakh) and two months' revenue from sale of power of Rs.3707.46 lakh (Rs.617.91 lakh). After deducting the security deposits from consumers of Rs.297.01 lakh, the total working capital requirement is Rs.341.21 lakh. Applying the approved interest rate of 11.15% (SBI 1-year EBLR of 9.15% plus 2%) results in an approved interest on working capital of Rs.38.04 lakh.

Table 22
Interest on Working capital approved for 2024-25 (Rs. lakh)
(Rs. in Lakhs unless specified)

Particulars	***(Rs. lakh)***
Approved O & M Expenses for One month (243.72/12)	*20.31*
Receivables-2 months Revenue from sale of power (3707.46 x 2 / 12)	*617.91*
Less: Security Deposit from Consumers	*297.01*
Total Working Capital	***341.21***
*Interest Rate (%) *SBI 1-year EBLR + 2%*	*11.15%*
Interest on Working Capital	***38.04***

54. The Commission, after analyzing the details and duly considering the provisions of the Tariff Regulations, 2021, hereby approves Rs.38.04 lakh as interest on working capital for the financial year 2024-25. This approval is based on a meticulous calculation of the working capital components and the application of the prescribed interest rate, ensuring a fair and transparent recovery of these finance costs.

c) Interest on the security deposit

55. *The licensee has claimed Rs.18.93 lakh as interest on security deposits from consumers for the financial year 2024-25. This claim reflects the interest payable on the security deposits collected from consumers, calculated at the prevailing bank rate. The licensee's submission indicates that the interest rate has seen an increase compared to the previous year, leading to a higher claimed amount. The Commission's examination ensures that the interest paid to consumers on their security deposits is in accordance with the applicable regulations and reflects the actual cost of funds.*

56. The Commission, after examining the details and considering the provisions of the Tariff Regulations, 2021, hereby approves Rs.20.05 lakh as interest on security deposits from consumers for the financial year 2024-25. This amount aligns with the Multi-Year Tariff (MYT) approved norm for this component, ensuring that consumers receive fair interest on their deposits as per regulatory requirements.

d) Bank Charges on Bank Guarantee/L.C to KSEB Ltd

57. *The licensee has claimed a total of Rs.7.53 lakh for bank charges for the financial year 2024-25. This amount comprises Rs.3.30 lakh for bank charges on Letter of Credit (LC) issued to secure monthly power purchase bills from KSEB Ltd, and Rs.4.23 lakh for bank guarantee charges provided to KSEB Ltd as per the directions of the Hon. Supreme Court of India in Civil Appeal 2144/2011. The claim highlights the costs incurred by the licensee for financial instruments necessary for its power procurement and operational obligations.*

Table 23
Bank Charges Claimed for the year 2024-25
(Rs. in Lakhs unless specified)

Particulars	***Rs. lakh***
Bank Charges on LC to secure cost of monthly power purchase from KSEB Ltd	*3.30*
Bank Guarantee to KSEB Ltd	*4.23*
Total	***7.53***

58. *The Commission has examined the claim for bank charges. The bank charges related to Letter of Credit (LC) for securing monthly power purchase bills from KSEB Ltd, amounting to Rs.3.30 lakh, are considered a necessary operational expense and are therefore approved. However, the claim for bank guarantee charges of Rs.4.23 lakh, provided to KSEB Ltd as per the directions of the Hon. Supreme Court of India, is not explicitly provided for in the approved Multi-Year Tariff (MYT) norms for this financial year. In the absence of specific regulatory provisions or compelling justifications for these particular bank guarantee charges to be allowed as a pass-through expense beyond the established framework, the Commission disallows this portion of the claim.*

Summary of the interest and finance charges

59. *Based on the detailed analysis and prudence checks for each component, the total interest and finance charges approved by the Commission for the financial year 2024-25 are Rs.64.21 lakh. This approved amount reflects the Commission's commitment to allowing only prudently incurred and justified costs, ensuring that consumers are not burdened by inefficiencies or unsubstantiated claims. The approved interest and finance charges are a summation of the individually approved interest on normative loan, interest on working capital, and interest on security deposits, each assessed against the regulatory norms and specific justifications provided by the licensee.*

Table 24
Interest & Finance charges approved for the year 2024-25 (Rs.lakh)
(Rs. in Lakhs unless specified)

Particulars	***ARR Approved***	***Truing Up Petition***	***Trued Up***
Interest on Normative Loan	*4.97*	*6.09*	*6.12*
Interest on Working Capital	*38.40*	*38.64*	*38.04*
Interest on Security deposits	*20.05*	*18.93*	*20.05*
Bank Charges on LC to secure cost of monthly power purchases from KSEB Ltd	*0.00*	*3.30*	*0.00*
Bank Charges on Bank Guarantee to KSEB	*0.00*	*4.23*	*0.00*
Total	***63.42***	***71.19***	***64.21***

9. Other Debits

60. *The licensee has claimed Rs.24.89 lakh on account of other debits for the financial year 2024-25. This claim, as detailed in the petition, includes various components such as Duty-III charges, periodical inspection charges, and provision for doubtful debts. The licensee's submission indicates that these expenses are incurred as part of its operational activities and statutory obligations. The Commission's review involves scrutinizing each component to determine its eligibility for recovery under the prevailing tariff regulations and to ensure that only prudently incurred and justified costs are passed on to consumers.*

Table 25
Details of other debits (Rs. lakh)
(Rs. in Lakhs unless specified)

Particulars	***2023-24 (Actual)***	***2024-25 (Actual)***	***2024-25 (Truing Up Claim)***	***2024-25 (ARR & ERC Petition)***	***2024-25 (ARR & ERC Approved)***
Duty - III	*14.83*	*24.89*	*24.89*	*12.31*	*0.00*
Periodical Inspection Charges	*1.29*	*0.33*	*0.33*	*1.31*	*1.31*
Provision for Doubtful Debts	*2.42*	*7.14*	*7.14*	*0.00*	*0.00*
Total	***18.53***	***32.36***	***32.36***	***13.62***	***1.31***

61. *The Commission has examined the claim for other debits. The claim for Duty-III charges, amounting to Rs.24.89 lakh, has been consistently disallowed by the Commission in previous truing-up orders, as it is not considered a recoverable revenue expenditure from consumers. Similarly, the provision for doubtful debts, amounting to Rs.7.14 lakh, is disallowed as the licensee has not provided sufficient evidence that these debts have been declared as bad debts in accordance with established accounting principles and regulatory requirements. Only actual bad debts, after all recovery efforts have been exhausted, can be considered for recovery. The periodical inspection charges of Rs.0.33 lakh, however, are deemed a legitimate operational expense and are therefore approved.*

62. The Commission, after analyzing the details and duly considering the provisions of the Tariff Regulations, 2021, hereby approves Rs.0.33 lakh as other debits for the financial year 2024-25. This approval is limited to the periodical inspection charges, while the claims for Duty-III and provision for doubtful debts are disallowed due to lack of regulatory eligibility and insufficient substantiation, respectively.

10. Return on Net Fixed Assets

63. *The licensee has claimed Rs.5.63 lakh as Return on Net Fixed Assets (RoNFA) for the financial year 2024-25. This claim is based on reckoning 5.50% of the value of net fixed assets at the beginning of the year. The licensee's computation aligns with Regulation 28 of the Tariff Regulations, 2021, which specifies the rate of return for licensees where equity capital is not clearly identifiable. The Commission's review ensures that the Net Fixed Assets (NFA) base is accurately determined and that the prescribed rate of return is correctly applied.*

Table 26
Computation of RONFA claimed for 2024-25 (Rs.lakh)
(Rs. in Lakhs unless specified)

Particulars	***Approved ARR-ERC***	***Truing up Claim***
Gross fixed assets as at 1st April 2024	*559.63*	*453.06*
Less: Accumulated depreciation	*239.59*	*269.88*
Less: Consumer contribution	*14.96*	*7.89*
Less: GFA for which interest is allowed	*177.32*	*73.01*
Balance value of Net fixed assets at the beginning of the year	*127.76*	*102.28*
Rate of Return	*5.50%*	*5.50%*
Eligible Return	***7.03***	***5.63***

64. *The Commission has examined the licensee's computation of Return on Net Fixed Assets (RoNFA) for the financial year 2024-25. The Net Fixed Assets (NFA) at the beginning of the year are derived by taking the Gross Fixed Assets (GFA) as on April 1, 2024, which is Rs.453.06 lakh. From this, the accumulated depreciation of Rs.269.88 lakh, consumer contribution of Rs.7.89 lakh, and the portion of GFA for which interest is allowed (Rs.73.01 lakh) are deducted. This results in a balance value of Net Fixed Assets of Rs.102.28 lakh at the*

beginning of the year. Applying the prescribed rate of return of 5.50% to this NFA base yields an eligible return of Rs.5.63 lakh, which is consistent with the licensee's claim and the regulatory provisions.

Table 27
Computation of RoNFA for the year 2024-25
(Rs. in Lakhs unless specified)

Particulars	***Rs. Lakh***
Gross fixed assets as at 1st April 2024	*453.06*
Less: Accumulated depreciation (269.88 lakh + Rs.13.74 lakh)	*283.62*
Less: Consumer contribution	*7.89*
Less: NFA for which interest is allowed	*73.01*
Balance value of Net fixed assets at the beginning of the year	*102.28*
Rate of Return (5.50%)	*5.50%*
Eligible Return	***5.63***

65. The Commission, after analyzing the details and duly considering the provisions of Regulation 28 of the Tariff Regulations, 2021, hereby approves Rs.5.63 lakh as Return on Net Fixed Assets for the financial year 2024-25. This approval is based on a meticulous computation of the Net Fixed Assets base and the application of the prescribed rate of return, ensuring a fair and transparent recovery of this component.

66. Accordingly, the Commission hereby approves Return on Net Fixed Assets of Rs.5.63 lakh for the year 2024-25, aligning with the regulatory framework and ensuring a just return on the licensee's prudently invested capital.

Sd/-

Sri. T.K Jose

Chairman

Sd/-

Adv. A. J. Wilson

Member

Sd/-

Sri. B. Pradeep

Member

Approved for issue

Sd/-

C.R.Satheesh Chandran

Secretary

D. Revenue from Sale of Power

67. *The licensee in the petition has claimed an amount of Rs.3707.46 lakh as revenue for the sale of 49.11 lakh units during the financial year 2024-25. This represents a slight decrease in both units sold and revenue compared to the previous year (2023-24), where the sales were 50.79 lakh units with a revenue of Rs.3712.23 lakh. The category-wise comparison of the revenue from sale of power for the years 2023-24 and 2024-25 is as shown below.*

Table 28
Revenue from sale of power for 2023-24 and 2024-25
(Rs. in Lakhs unless specified)

Category	***2023-24***				***2024-25***			
	No. of Consumers	***Sales in lakh units***	***Total Revenue***	***Average Realization***	***No. of Consumers***	***Sales in lakh units***	***Total Revenue***	***Average Realization***
HT IA Industrial	*22*	*33.45*	*2478.43*	*7.40*	*22*	*31.08*	*2362.72*	*7.58*
HT-IB (IT Industrial)	*1*	*0.03*	*3.27*	*12.07*	*1*	*0.07*	*7.89*	*12.29*
HT II (Non Ind/Comr)	*3*	*0.44*	*40.65*	*9.43*	*2*	*0.38*	*35.61*	*9.34*

Category	2023-24				2024-25			
	No. of Consumers	Sales in lakh units	Total Revenue	Average Realization	No. of Consumers	Sales in lakh units	Total Revenue	Average Realization
HT III Agriculture	2	0.35	17.65	5.09	2	0.37	18.93	5.24
HT IV Commercial	9	2.04	192.79	9.45	9	2.15	204.21	9.37
LT I Domestic	14536	7.93	384.16	4.84	14017	8.10	412.00	5.09
LT IV Industries	97	0.52	28.73	5.53	92	0.40	30.51	7.65
LT V Agriculture	6	0.01	0.32	3.30	6	0.02	0.64	3.25
LT VI Non-Domestic	981	1.78	163.24	9.17	951	1.84	171.56	9.36
LT VII Commercial	1325	3.82	379.65	9.94	1242	3.89	399.49	10.29
LT VIII Public Lighting	266	0.41	22.77	5.55	267	0.43	24.58	5.76
LT TOD Tariff	4	0.01	0.57	5.70	5	0.02	1.74	8.70
LT-IVA-Demand Based	---	---	---	---	1	0.18	13.10	7.28
LT-7A-Demand Based	---	---	---	---	3	0.17	19.74	11.61
Total	**17252**	**50.79**	**3712.23**	**7.33**	**16622**	**49.11**	**3703.84**	**7.55**

68. *The licensee has stated that the decrease in units sold is mainly on account of decreased consumption by HT consumers, particularly seasonal tea factories, by 23 lakh units, as production in the area was significantly lower compared to the previous period. This was partially offset by an increase of 6 lakh units in consumption by LT consumers due to increased commercial and domestic consumption in the region. The increase in average revenue per unit is primarily attributable to tariff revisions subsequent to the previous year. As against the approved ARR-ERC, the actual sales during the year were higher by Rs.434.81 lakh, driven by an increase in average revenue per unit (Rs.125.64 lakh) and higher sales volume (Rs.309.17*

lakh for 42.39 lakh units). This indicates a faster-than-anticipated recovery in commercial segments from the Covid period.

69. The Commission, after reviewing the details and considering the explanations provided, hereby approves the revenue from sale of power at Rs.3707.46 lakh for the purpose of Truing Up of Accounts for the financial year 2024-25.

E. Non-Tariff Income

70. *The licensee has claimed a total non-tariff income of Rs.124.07 lakh for the financial year 2024-25. This amount is significantly higher than the actual audited non-tariff income of Rs.36.55 lakh for the current year and Rs.66.74 lakh for the previous year (2023-24). The increase in the claimed amount is primarily due to the inclusion of notional interest on accumulated surplus, as detailed in the petition. The breakdown of non-tariff income claimed by the licensee is presented below:*

Table 29
Details of Non-Tariff income claimed
(Rs. in Lakhs unless specified)

Particulars	***2023-24***		***2024-25***
	Actual	***Trued Up***	***Truing Up Claim***
Interest receivable on KDHP Deposit with KSEB	*17.36*	*17.36*	*18.74*
Miscellaneous receipts	*49.38*	*17.81*	*17.81*
Interest on accumulated surplus	*---*	*---*	*87.52*
Total	***66.74***	***36.55***	***124.07***

71. *The Commission has examined the components of the non-tariff income. The amounts for 'Interest receivable on KDHP Deposit with KSEB' and 'Miscellaneous receipts' are consistent with the licensee's records and are approved. Regarding the 'Interest on accumulated surplus' of Rs.87.52 lakh, the licensee reiterates its earlier views that regulatory surplus does not generate real cash surplus for fund placement. However, Regulation 83 of the Tariff Regulations, 2021, specifically includes interest income earned from security deposits and normative interest income calculated based on accumulated regulatory surplus under the definition of Other*

Income. The Commission has historically approved notional interest on accumulated surplus based on the SBI fixed term interest rate. For FY 2024-25, the retail deposit interest rate of State Bank of India for a one-year tenure as on 1st April 2024 is 6.80% p.a. Accordingly, the interest on accumulated surplus has been computed at this rate.

72. The Commission, after due consideration of the petition and the provisions of the Tariff Regulations, 2021, hereby approves Rs.124.07 lakh as the non-tariff income for the financial year 2024-25.

Table 30
Non-Tariff Income approved for 2024-25 (Rs lakh)
(Rs. in Lakhs unless specified)

Particulars	***2024-25***	
	Truing Up Claim	***Trued Up***
Interest receivable on KDHP Deposit with KSEB	*18.74*	*18.74*
Miscellaneous receipts	*17.81*	*17.81*
Interest on accumulated surplus	*87.52*	*87.52*
Total	***124.07***	***124.07***

F. Revenue Surplus/Gap for 2024-25

73. *Based on the analysis and decisions detailed in the preceding sections, the approved expenditure and revenue for the financial year 2024-25 after truing up are as shown below:*

Table 31
Trued up Income and Expenditure for the Year 2024-25 (Rs. lakh)
(Rs. in Lakhs unless specified)

Particulars	***2024-25 (ARR&ERC)***	***2024-25 (Truing Up Claim)***	***2024-25 (Trued Up)***
Power purchase cost	*3491.65*	*3434.48*	*3415.76*
Employee Expenses	*182.75*	*257.53*	*182.75*
Repair & Maintenance Expenses	*45.83*	*51.17*	*45.83*
Administration & General Expenses	*15.14*	*23.30*	*15.14*
Depreciation	*13.74*	*14.50*	*13.74*
Interest Long Term	*4.97*	*71.19*	*6.12*
Interest Consumer Deposits	*20.05*	*20.05*	*20.05*

Particulars	***2024-25 (ARR&ERC)***	***2024-25 (Truing Up Claim)***	***2024-25 (Trued Up)***
Interest Working Capital	*38.40*	*38.40*	*38.04*
Return on Net Fixed Assets	*6.40*	*5.63*	*5.63*
Other Debits	*0.33*	*24.89*	*0.33*
Other Expenses	*0.00*	*0.00*	*7.47*
Adjustment to claimed expenditure	*---*	*-51.75*	*---*
Total Expenditure/ARR	***3819.26***	***3890.16***	***3750.86***
Revenue from Sale of Power	*3272.65*	*3707.46*	*3707.46*
Non-Tariff Income	*69.22*	*124.07*	*124.07*
Total Income/ERC	***3341.87***	***3831.53***	***3831.53***
Revenue (Gap)/Surplus	***-477.39***	***-58.63***	***112.70***

Orders of the Commission

74. *The Commission, after considering the petition filed by M/s. KDHP for Truing up of Accounts for the year 2024-25, and details provided by the licensee, the Commission approves the following:*

a) *Total revenue is Rs.3831.53 lakh.*

b) *Total expenditure is Rs.3750.86 lakh.*

c) *The revenue surplus for the year 2024-25 is Rs.112.70 lakh.*

d) *The total cumulative revenue gap till 2024-25 will be Rs.661.23 lakh (Rs.773.93 lakh as opening cumulative revenue gap + current year revenue surplus of Rs.112.70 lakh). The licensee shall keep the surplus arrived at after the truing up process in a separate fund and utilize it as per orders of the Commission.*

75. *The petition is disposed of. Ordered accordingly.*

Sd/-	*Sd/-*	*Sd/-*
Sri. T.K Jose	***Adv. A. J. Wilson***	***Sri. B. Pradeep***
Chairman	***Member***	***Member***

Approved for issue

Sd/-

C.R.Satheesh Chandran

Secretary